

Margin recovery to take time



31 January, 2022

Britannia Consolidated Q3FY22 results were slightly better than estimates on topline.

- Revenue increased by 13% YoY to Rs 35749.8mn (flat QoQ). Volume growth stood at ~5%
- EBIDTA** declined by 12% YoY to Rs 5397mn (-3% QoQ) || EBIDTA margins 15.1% v/s 19.3% YoY and 15.5% QoQ
- PAT (adj) declined 18.3% YoY** to Rs 3722mn (-3% QoQ) || tax rate 26.9% v/s 26.2% YoY (27% QoQ). Other Income declined 33% YoY to Rs 551mn

Other Details

- Raw Materials** to Revenue stood 62.1% v/s 56.9% YoY (62.5% QoQ).
- Employee cost** declined 3% YoY to Rs 1279mn (-16.7% QoQ)
- Other Expenses to Revenue** stood at 19.2% v/s 19.68% YoY (17.8% QoQ)

Outlook:

- Britannia witnessed NO slowdown in Rural India. Market share in Rural was 2x Urban
- Margins on a QoQ basis would remain flat. Price increase taken +1% Q1, +4% Q2, +8% Q3 and +10% Q4e, however not at the cost of pinching the consumer.
- Inflation on a QoQ basis in YTD Q4 is ~2 to 3 %.
- On the balance sheet side ICD exposure towards group companies Rs 5.8bn v/s Rs 5.05bn QoQ

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21	FY22E	FY23E	FY23E
Net sales	1,15,996	1,31,361	1,39,697	1,51,540	1,64,508
EBIDTA	18,432	25,092	21,509	25,525	27,552
Margins	15.9	19.1	15.4	16.8	16.7
PAT (adj)	14,155	18,643	15,345	18,326	20,217
growth (%)	22.1	31.7	(17.7)	19.4	10.3
EPS	58.9	77.4	63.7	76.1	83.9
P/E (x)	60.0	45.7	55.5	46.5	42.1
P/B (x)	19.3	24.0	43.7	27.9	20.0
EV/EBITDA (x)	45.4	33.7	40.2	33.6	30.9
RoE (%)	32.1	52.6	78.7	60.1	47.4
ROCE (%)	27.9	40.6	40.5	42.2	39.7

Source: Dalal and Broacha

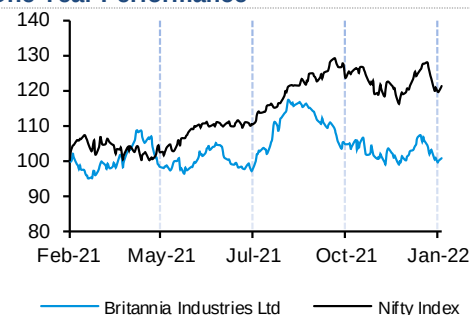
Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	3,840	9

Market data

Current price	Rs	3,535
Market Cap (Rs.Bn)	(Rs Bn)	852
Market Cap (US\$ Mn)	(US\$ Mn)	11,348
Face Value	Rs	1
52 Weeks High/Low	Rs	4,153 / 3,305
Average Daily Volume	('000)	255
BSE Code		532523
Bloomberg		BRIT.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-22	Sep-22
Promoters	50.55	50.55
Public	49.45	49.45
Total	100	100

Source: BSE

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Conference Call KTA's continue

• A .Q3FY22 highlights

- Volume growth Q3FY22 @ 5%
- Market share gained in Q3FY22 as well. Market share delta with 2nd player widened despite pricing growth aided by Milk Bikkis, Marie and focus on Hindi belt.
- Cost Efficiencies over FY14 5.6x on overall basis:
 - 7.4x in Manufacturing (with rise in use of renewable power, automation and productivity increase)
 - 5x in Material (led by forward contracts, localization of procurement)
 - 3.9x in distribution (reduction in distance travelled and better truck utilization)
- Overall commodity Inflation for Britannia YoY basis was 20% (QoQ 4%) ∴ Milk +8% (+5% QoQ) || RPO +45% (+3% QoQ) || flour +2% (+6% QoQ) || Sugar +4% (+5% QoQ).
- Inflation in other commodities on YoY and (QoQ) basis include: Industrial Fuel +57% (+18%) || Freight- Diesel +24% (flat QoQ) || Laminates +21% (+1%) || Corrugated Box +39%(-3%)
- Overall material inflation stood as follows +4% Q1, +14% Q2, +20% Q3.
- Price increase taken +1% Q1, +4% Q2, +8% Q3 and +10% Q4e. These actions are ahead of competition.

• B. Network & Distribution highlights

- **Direct Reach:** 21.9 lac outlets v/s 21.5 lacs in Sept -21, coming back to 23.7lacs in March 21. Potential to reach 30 lac outlets.
- **Rural distribution @** 26k distributors v/s 23K March-21
- **Overall market share gains were higher in Q3FY22**
- Focus state growth was 1.3x of country average

• D. Recent Launches & their revenue:

- **50:50 Potazos** Two in one format of Potato Chip and Biscuit launched Pan India recorded ~Rs 700mn. Manufactured on the existing cracker line hence margins are good.
- Milk Bikki Classic even outside of Tamil Nadu & Kerala, did extremely well recording Rs 4bn in revenue. Volume growth @ 40% (non-south markets)
- Tiger Crunch recorded Rs 3bn revenues (sold in 7 states)
- Goodday re-launched with 4 types of smile
- Strong growth in Croissant in the present markets. It was started in South and East i.e. Kolkata and Chennai and modern trade. Developed a new product for PAN-India launch.

- **E. International business:**
 - Local operations commenced in Uganda and Egypt
 - Nepal doing well with healthy margins
 - Africa expansion plans on track manufacturing in Egypt and Uganda via contract manufacturers
- **F. Adjacent categories (including Milk @ 5% of Sales) contribute ~25bn to full year turnover**
 - 2x growth in Dairy drinks
 - Bread and Rusks did well. Rusk grew in high double digit.
 - Cake recorded decent growth
 - Milk collection increased from 35,000 to 60,000 litres per day, with increase in farmers from 1500 to 2500 this year. Currently is given to contract manufacturer and would be utilized by Britannia in-house from Q2FY23. Dairy Capex is Rs 6.5bn

Quarterly Financials

Particulars (Rs Mns) Consolidated	Q3FY22	Q3FY21	Growth	Q2FY22	Growth
Net Sales	35,307.0	31,061.0	13.7%	35,536.8	-0.6%
Other Op Income	442.8	595.1	-25.6%	536.9	-17.5%
Total OP Income	35,749.8	31,656.1	12.9%	36,073.7	-0.9%
Add: O. Income	551.3	825.6	-33.2%	534.0	3.2%
Total Income	36,301.1	32,481.7	11.8%	36,607.7	-0.8%
RAW MATERIALS	(22,196.0)	(18,014.4)	23.2%	(22,543.2)	-1.5%
Employee Cost	(1,279.1)	(1,317.6)	-2.9%	(1,536.1)	-16.7%
O. Exps	(6,877.5)	(6,208.9)	10.8%	(6,411.1)	7.3%
EBIDTA	5,948.5	6,940.8	-14.3%	6,117.3	-2.8%
EBIDTA Less O. Inc	5,397.2	6,115.2	-11.7%	5,583.3	-3.3%
Less Int	(373.8)	(317.9)	17.6%	(389.5)	-4.0%
Less Depn	(503.8)	(485.8)	3.7%	(501.6)	0.4%
<i>Less Exceptional</i>	<i>(9.8)</i>	<i>-</i>		<i>-</i>	
PBT Before Exceptic	5,070.9	6,137.1	-17.4%	5,226.2	-3.0%
PBT	5,061.1	6,137.1	-17.5%	5,226.2	-3.2%
Less Tax	(1,362.2)	(1,610.9)	-15.4%	(1,410.0)	-3.4%
Share of Profit/Loss from Associate	(7.1)	0.2	-3650.0%	2.2	-422.7%
Minority Interest	-	-		-	
PAT Reportd	3,691.8	4,526.4	-18.4%	3,818.4	-3.3%
PAT Adjusted					
Owner Share	3,721.7	4,557.5	-18.3%	3,842.2	-3.1%
Equity	240.9	240.7		240.9	
EPS (Adjusted PAT)	15.4	18.9		15.9	
OPM	15.1%	19.3%		15.5%	
NPM	10.2%	13.9%		10.4%	
Tax Rate	-26.9%	-26.2%		-27.0%	
% to Operating Income					
RAW MATERIALS	-62.1%	-56.9%		-62.5%	
Employee Cost	-3.6%	-4.2%		-4.3%	
O. Exps	-19.2%	-19.6%		-17.8%	
Total	-84.9%	-80.7%		-84.5%	

Source: Dalal & Broacha Research, Company

Valuation

We believe the increase in raw material prices will impact gross margins for few more quarters, as this time the rise is unprecedented. We have revised our numbers post concal.

We rollover our estimates to FY24e

At CMP of Rs 3534 Britannia trades at 46.5x FY23e EPS of Rs 76 and 42x FY23e EPS of Rs 84. We maintain **Buy in Dips**. With a target price of Rs 3780 (i.e. 45x FY24 earnings)

Financials

P&L (Rs mn)	FY20	FY21	FY22E	FY23E	FY24E
Net Operating Income	1,15,995.5	1,31,361.4	1,39,697.0	1,51,539.9	1,64,507.8
Raw materials	(69,274.7)	(76,261.0)	(86,415.1)	(90,166.2)	(97,882.1)
Employee costs	(4,866.9)	(5,273.8)	(5,749.0)	(6,323.9)	(6,956.3)
Other Expenses	(23,422.1)	(24,734.3)	(26,024.0)	(29,524.9)	(32,117.6)
Cost of sales	(97,563.7)	(1,06,269.1)	(1,18,188.1)	(1,26,015.0)	(1,36,956.0)
Operating Profit	18,431.8	25,092.3	21,508.9	25,524.8	27,551.7
Depreciation	(1,848.1)	(1,978.5)	(2,000.0)	(2,206.1)	(2,412.2)
PBIT	16,583.7	23,113.8	19,508.9	23,318.7	25,139.5
Other income	2,794.0	3,129.3	2,353.5	2,258.4	2,815.7
Interest	(769.0)	(1,109.0)	(1,479.0)	(1,197.3)	(1,037.3)
Profit before tax	18,608.7	25,134.1	20,383.4	24,379.8	26,917.9
Extraordinary Items / Exce	(170.1)	-	-	-	-
Profit before tax (post Exc	18,438.6	25,134.1	20,383.4	24,379.8	26,917.9
Provision for tax	(4,507.0)	(6,630.2)	(5,130.5)	(6,136.4)	(6,775.2)
Reported PAT	13,931.6	18,503.9	15,252.9	18,243.4	20,142.7
Share of Pft and Loss of Associates and Minority Int	94.7	141.2	92.4	83.0	74.6
Adjusted PAT	14,154.8	18,643.5	15,345.3	18,326.5	20,217.3

Cash Flow St. (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Net Profit	14,026.3	18,639.0	15,345.3	18,326.5	20,217.3
Add: Dep. & Amort.	1,848.1	1,978.5	2,000.0	2,206.1	2,412.2
Cash profits	15,874.4	20,617.5	17,345.3	20,532.6	22,629.5
(Inc)/Dec in					
-Sundry debtors	738.8	630.9	(489.2)	(259.6)	(284.2)
-Inventories	404.2	(3,505.3)	(681.9)	387.0	(508.6)
-Loans/advances	(1,507.3)	786.8	1,793.8	(598.5)	(640.4)
-Sundry creditors	(242.3)	1,984.7	(362.8)	802.0	1,162.7
-Others	872.4	2,363.1	2,055.5	385.0	404.2
Change in working capital	265.8	2,260.2	2,315.5	715.9	133.7
CF from Oper. activities	16,140.2	22,877.7	19,660.8	21,248.4	22,763.2
CF from Inv. activities	(17,299.5)	(770.5)	8,413.4	(5,500.0)	(5,500.0)
CF from Fin. activities	1,289.6	(21,222.3)	(24,339.8)	(11,246.9)	(12,011.6)
Cash generated/(utilise	130.3	884.9	3,734.4	4,501.6	5,251.6
Cash at start of the year	1,098.2	1,228.5	2,113.4	5,847.8	10,349.3
Cash at end of the year	1,228.5	2,113.4	5,847.8	10,349.3	15,601.0

Balance Sheet	FY20	FY21	FY22E	FY23E	FY24E
Equity capital	240.5	240.9	240.9	240.9	240.9
Reserves	43,787.8	35,235.7	19,260.2	30,256.1	42,386.4
Net worth	44,028.3	35,476.6	19,501.1	30,497.0	42,627.3
Def. Tax Liab.+Minority Int	356.5	363.4	456.4	540.1	615.4
Secured loans	7,660.6	7,471.5	7,158.5	5,158.5	3,158.5
Unsecured loans	7,479.9	13,571.5	21,001.5	19,001.5	17,001.5
Total debt	15,140.5	21,043.0	28,160.0	24,160.0	20,160.0
CAPITAL EMPLOYED	59,525.3	56,883.0	48,117.5	55,197.1	63,402.8
Gross block	23,954.9	25,111.8	29,111.8	32,111.8	35,111.8
Accumulated depreciation	(6,562.8)	(8,541.3)	(10,541.3)	(12,747.4)	(15,159.6)
Net block	17,392.1	16,570.5	18,570.5	19,364.4	19,952.2
Capital WIP	395.5	1,165.2	1,165.2	1,165.2	1,165.2
Total fixed assets	17,787.6	17,735.7	19,735.7	20,529.6	21,117.4
Goodwill	1,389.7	1,359.0	1,373.3	1,373.3	1,373.3
Investments	28,932.3	27,806.9	15,379.2	17,879.2	20,379.2
Inventories	7,409.6	10,914.9	11,596.8	11,209.8	11,718.4
Sundry debtors	3,203.6	2,572.7	3,061.9	3,321.4	3,605.7
Cash & bank	1,228.5	2,113.4	5,847.8	10,349.3	15,601.0
Loans & advances	13,130.6	9,995.0	7,145.0	7,145.0	7,145.0
Other current assets	5,144.8	7,493.6	8,549.8	9,148.3	9,788.7
Sundry creditors	(11,162.8)	(13,147.5)	(12,784.7)	(13,586.7)	(14,749.4)
O. Current Liabilities	(5,563.1)	(6,095.7)	(7,699.4)	(8,084.4)	(8,488.6)
Provisions	(2,044.2)	(3,874.7)	(4,326.5)	(4,326.5)	(4,326.5)
Working capital	11,347.0	9,971.7	11,390.6	15,176.3	20,294.2
Deferred Tax Assets	68.7	9.7	238.7	238.7	238.7
Miscellaneous exp.	-	-	-	-	-
CAPITAL DEPLOYED	59,525.3	56,883.0	48,117.5	55,197.1	63,402.8

Ratios	FY20	FY21	FY22E	FY23E	FY24E
OPM	15.9	19.1	15.4	16.8	16.7
NPM	11.9	13.9	10.8	11.9	12.1
Tax rate	(24.4)	(26.4)	(25.2)	(25.2)	(25.2)
Growth Ratios (%)					
Net Sales	4.9	13.2	6.3	8.5	8.6
Operating Profit	6.3	36.1	(14.3)	18.7	7.9
PAT	22.1	31.7	(17.7)	19.4	10.3
Per Share (Rs.)					
Net Earnings (EPS)	59	77.4	63.7	76.1	83.9
Cash Earnings (CPS)	66	86	72	85	94
Dividend	35.0	145.0	25.5	30.4	33.6
Book Value	183.1	147.3	81.0	126.6	177.0
Free Cash Flow	(4.82)	91.77	116.54	65.37	71.66
Valuation Ratios					
P/E(x)	60.0	45.7	55.5	46.5	42.1
P/B(x)	19.3	24.0	43.7	27.9	20.0
EV/EBIDTA(x)	45.4	33.7	40.2	33.6	30.9
Div. Yield(%)	1.0	4.1	0.7	0.9	0.9
FCF Yield(%)	(0.1)	2.6	3.3	1.8	2.0
Return Ratios (%)					
ROE	32.1	52.6	78.7	60.1	47.4
ROCE	27.9	40.6	40.5	42.2	39.7

Source: Dalal & Broacha Research, Company

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